

Is US Historical Data Sufficiently Representative?

Changing some of the most important assumptions used in the early studies will impact the advisable course of action for current and prospective retirees. To begin, we should determine whether US historical data is sufficiently representative to have a clear idea of forward-looking safe spending rates. How relevant is the US historical record?

Classic safe withdrawal rate studies are largely based on the Ibbotson Associates' *Stocks, Bonds, Bills, and Inflation* (SBBI) data, which outlines total returns for US financial markets since 1926. This should be a concern for several important reasons. First, the time period is too short to develop a wide perspective of possible outcomes. Looking at thirty-year retirements, there have only been about three independent observations since 1926. Even for studies with data reaching back to 1871, less than five independent thirty-year periods are available.

Second, this time period also coincides with the rise of the United States as a world superpower. The twentieth century was a rather remarkable and unparalleled era in the United States from the perspective of any country at any point in history. The US economic engine grew and produced extraordinarily during these years, which could give us overinflated estimates of how high the spending rates and stock allocations can safely extend for future retirees. Markets may behave differently in the future, so simply extrapolating the past experience of the United States is problematic.

As William Bernstein pointed out in part 3 of his "Retirement Calculator from Hell" series, post-1926 United States was fortunate to avoid experiencing any truly destructive political, economic, or military crises, which can wipe out a retiree's wealth. A casual look through world history, though, suggests that such crises occur altogether too frequently. Focusing solely on investment risk over a thirty- or forty-year retirement while excluding these other risks will result in overconfidence. For this reason, Bernstein suggests it is meaningless to think about portfolio success rates above 80 percent.

Even if basing the analysis on this extraordinary period is otherwise sensible, current market conditions still outweigh the past events when developing sustainable spending rates. Rather than using historical averages to define our capital market expectations, we should be thinking about realistic assumptions based on what is possible for investors considering present conditions. Though